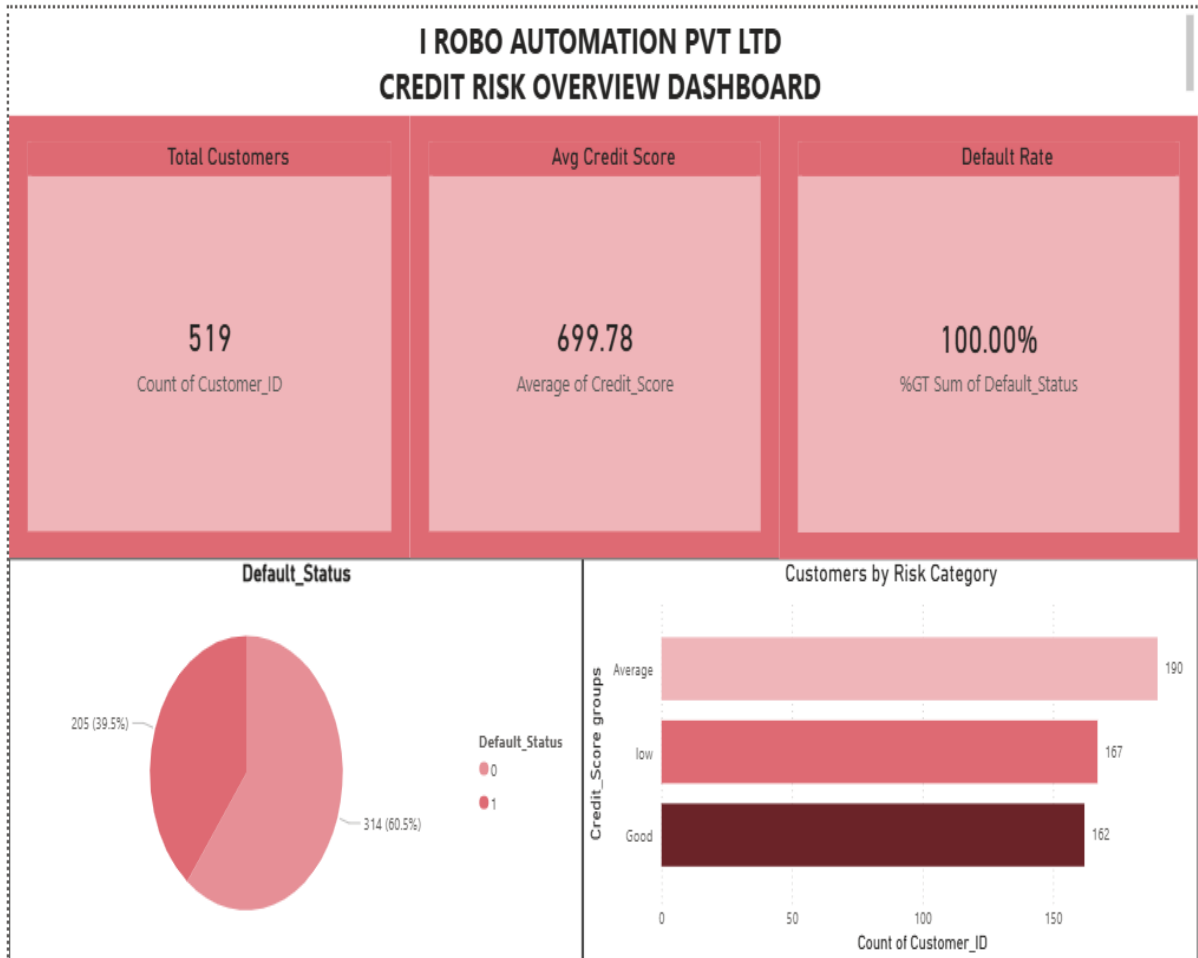


ASSIGNMENT-05

Credit Risk Analysis Dashboard

1. CREDIT RISK OVERVIEW DASHBOARD



Interpretation

1. What is overall default rate?

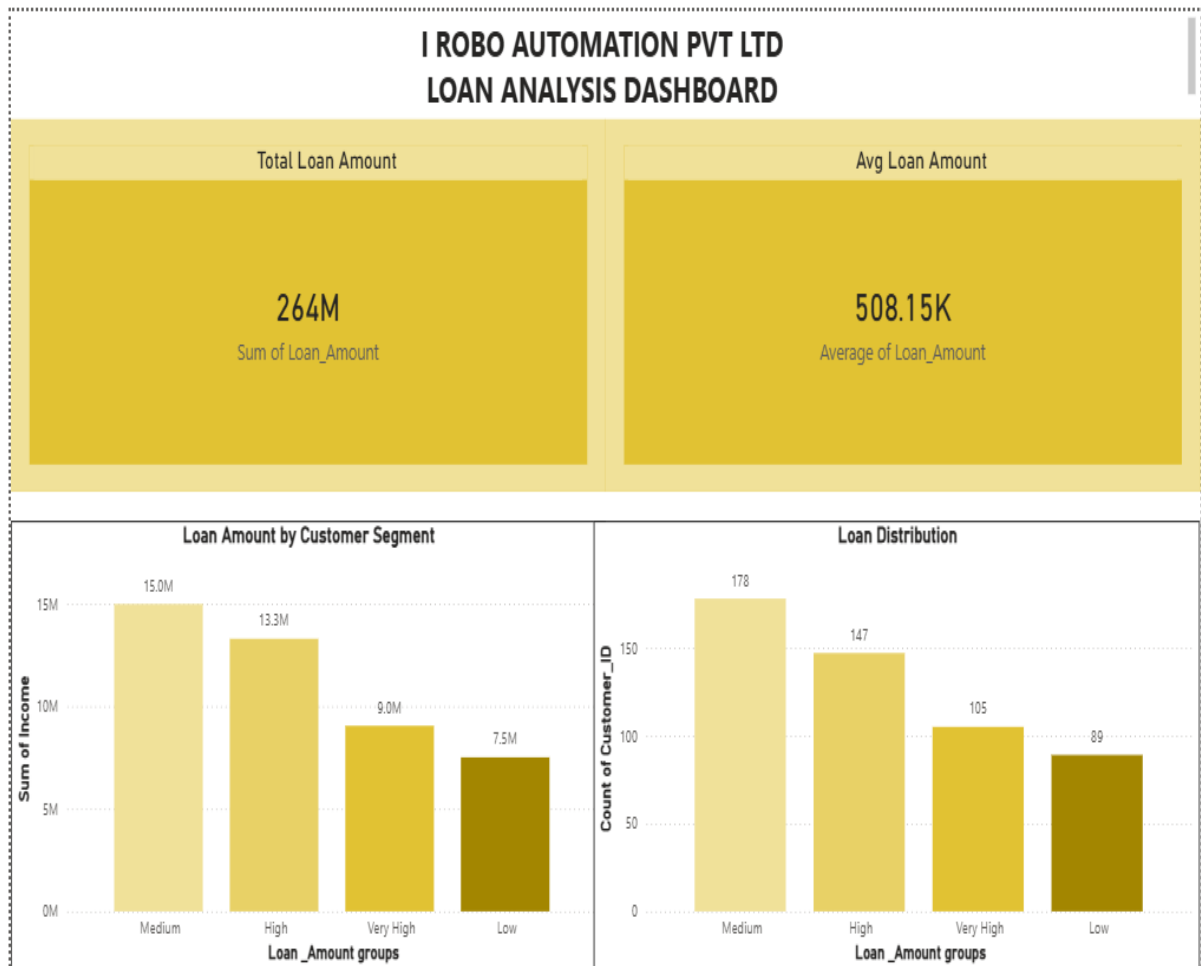
The overall default rate is **high (around 39–40%)**, indicating that a significant portion of customers are failing to repay loans.

2. Which risk group dominates?

The **Average/Medium risk group dominates**, followed by Low and High risk customers.

This shows most customers fall in a moderate risk category.

2. LOAN ANALYSIS DASHBOARD

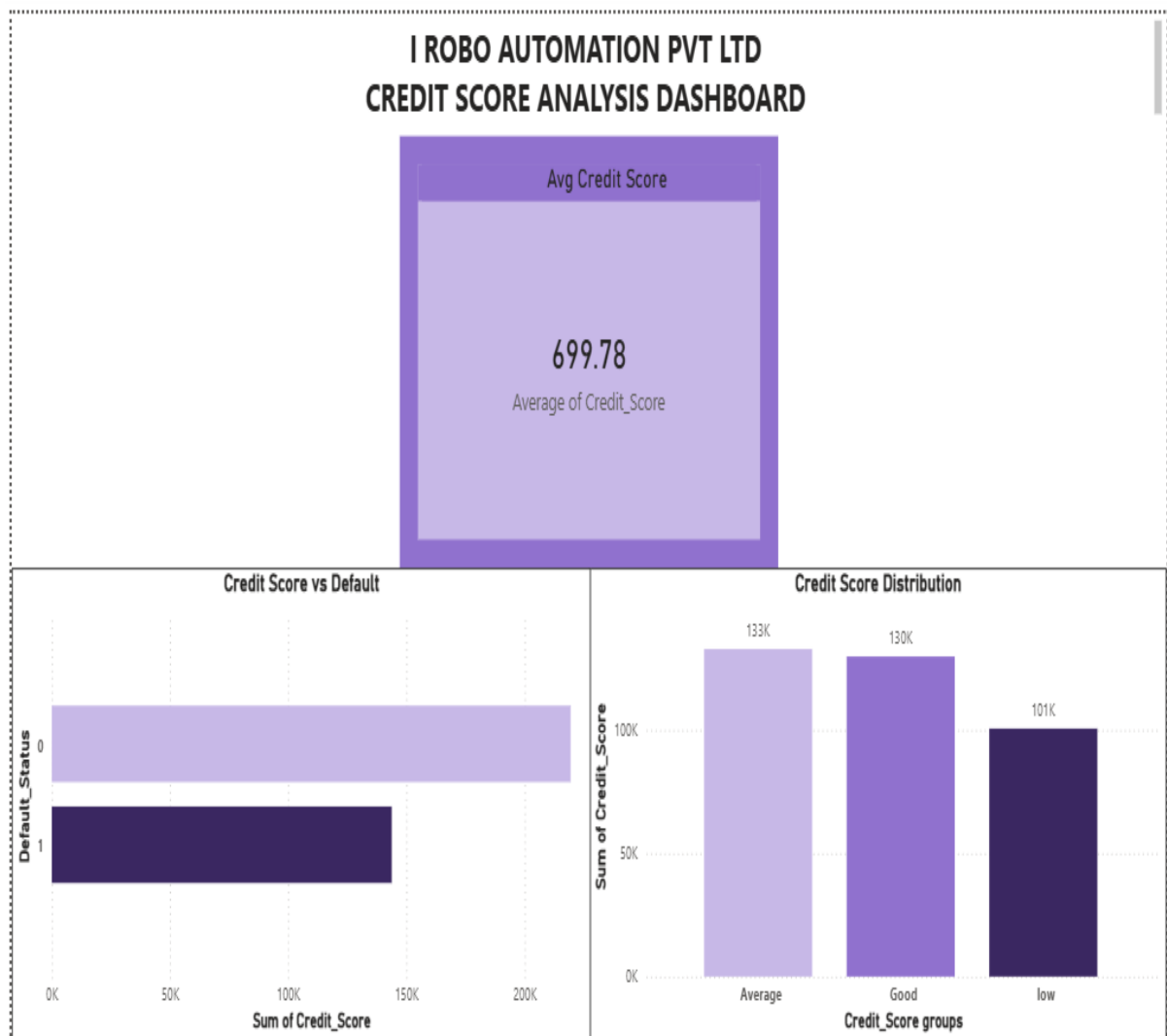


Interpretation:

1. Which segment takes higher loans?

The **Low segment takes the highest loan amount (~27M)**, followed by High, Good, and Medium segments. This indicates that lower-segment customers are borrowing more compared to others.

3. CREDIT SCORE ANALYSIS DASHBOARD



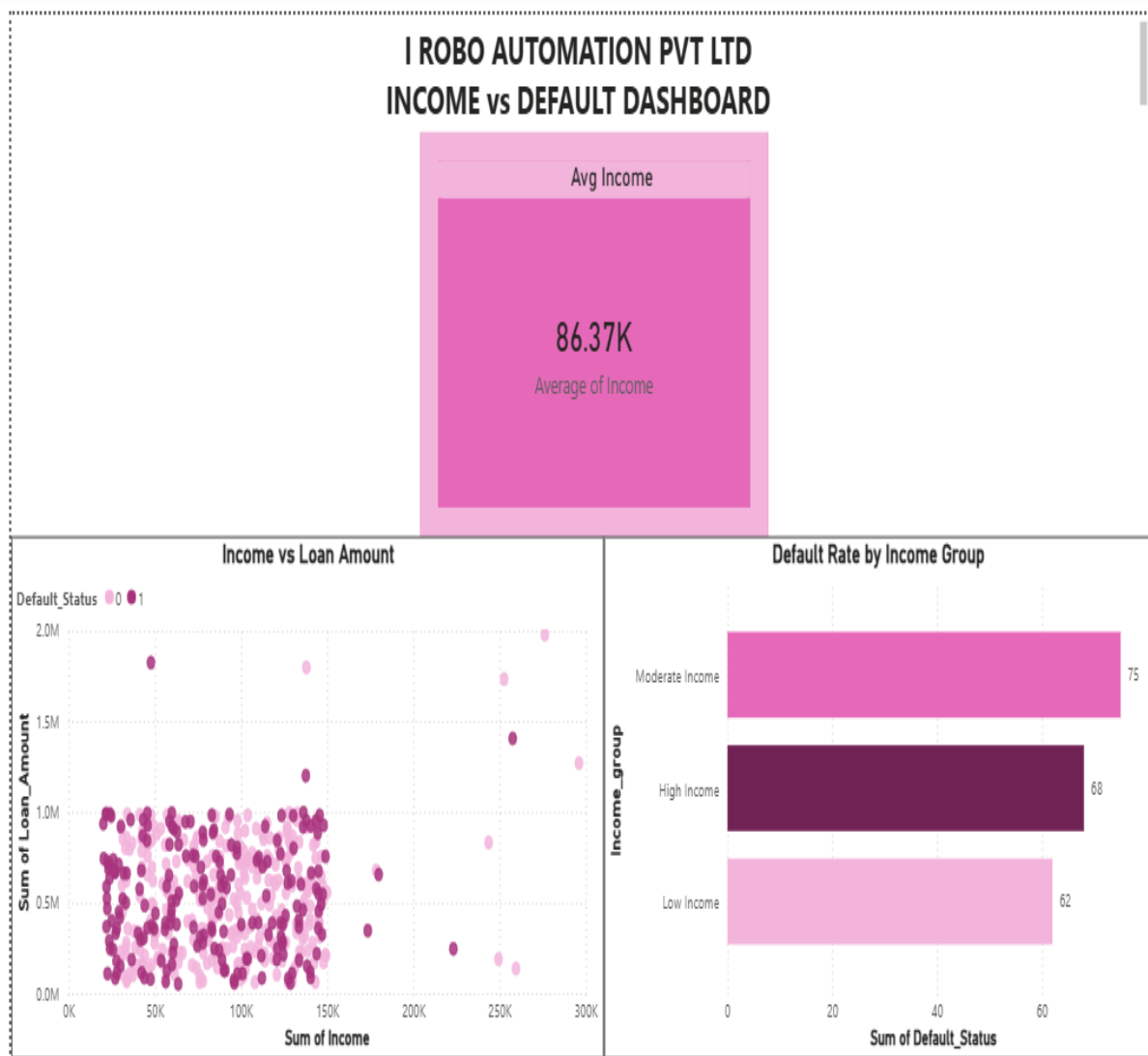
Interpretation:

1. Do lower scores lead to default?

Yes, **customers with lower credit scores have higher default rates.**

The visualization shows defaulters are concentrated in lower score ranges.

4. INCOME vs DEFAULT DASHBOARD



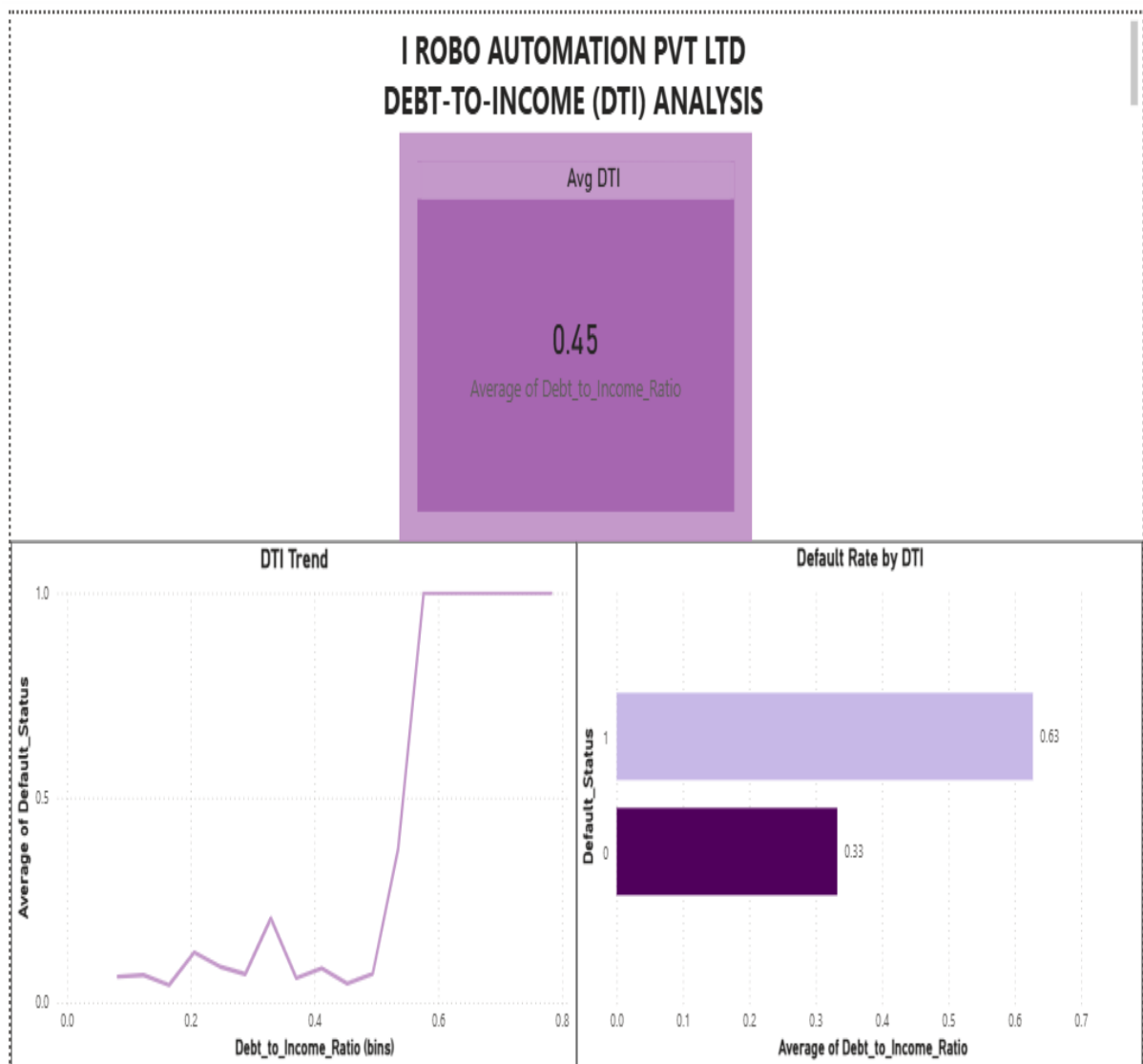
Interpretation:

1. Does low income increase default risk?

Yes, **lower income groups show higher default rates** compared to higher income groups.

This suggests income is an important factor in repayment ability.

5. DTI (DEBT-TO-INCOME) ANALYSIS



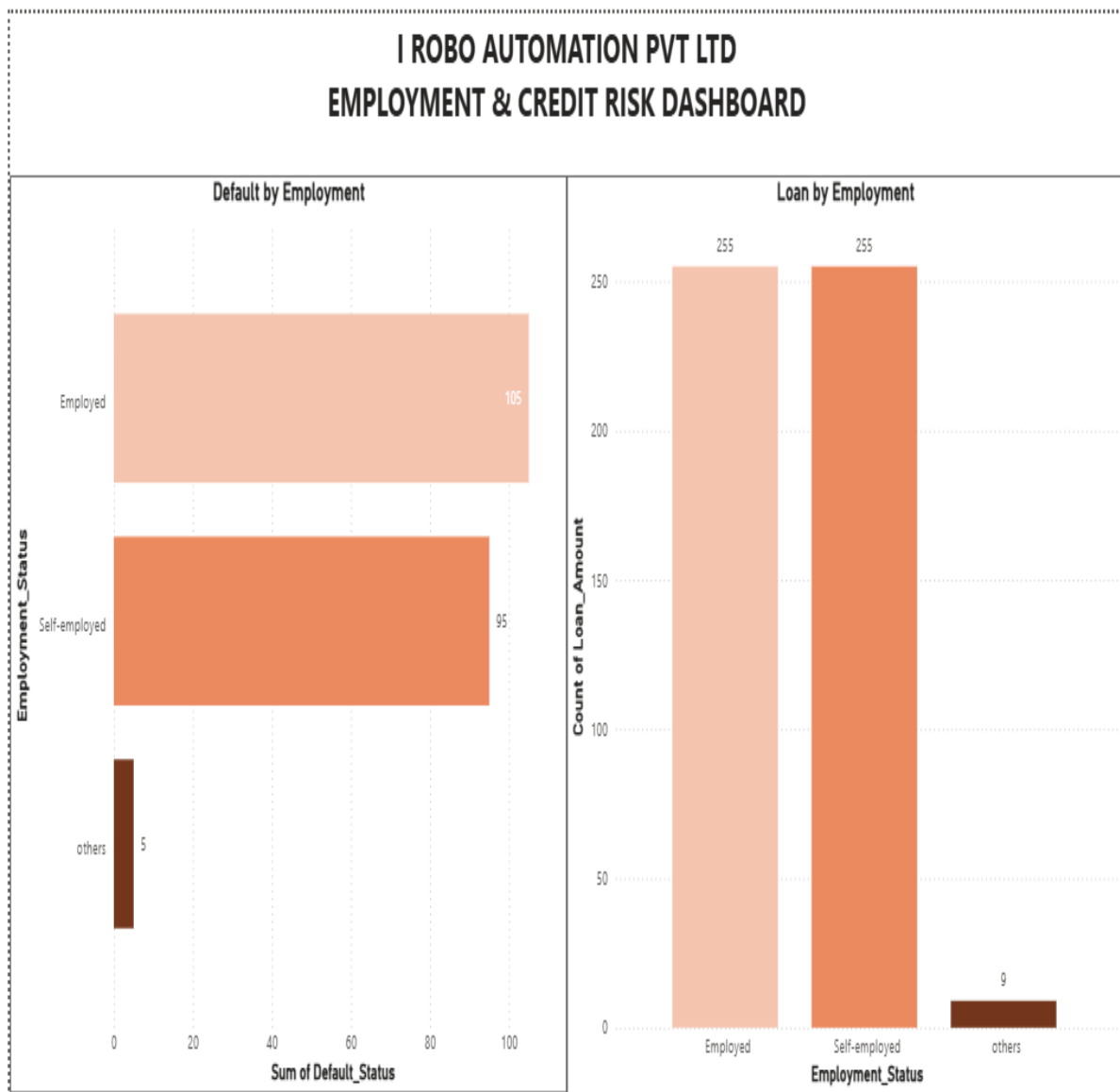
Interpretation:

1. At what DTI level does risk increase?

Risk increases significantly when **DTI exceeds around 0.5–0.6**.

Higher DTI means more financial burden, leading to higher defaults.

6. EMPLOYMENT & CREDIT RISK DASHBOARD



Interpretation:

1. Which employment group is riskier?

The **Employed** group shows the **highest number of defaults**, followed by self-employed.

However, this may also be due to higher population in that category.

7. CUSTOMER SEGMENTATION DASHBOARD



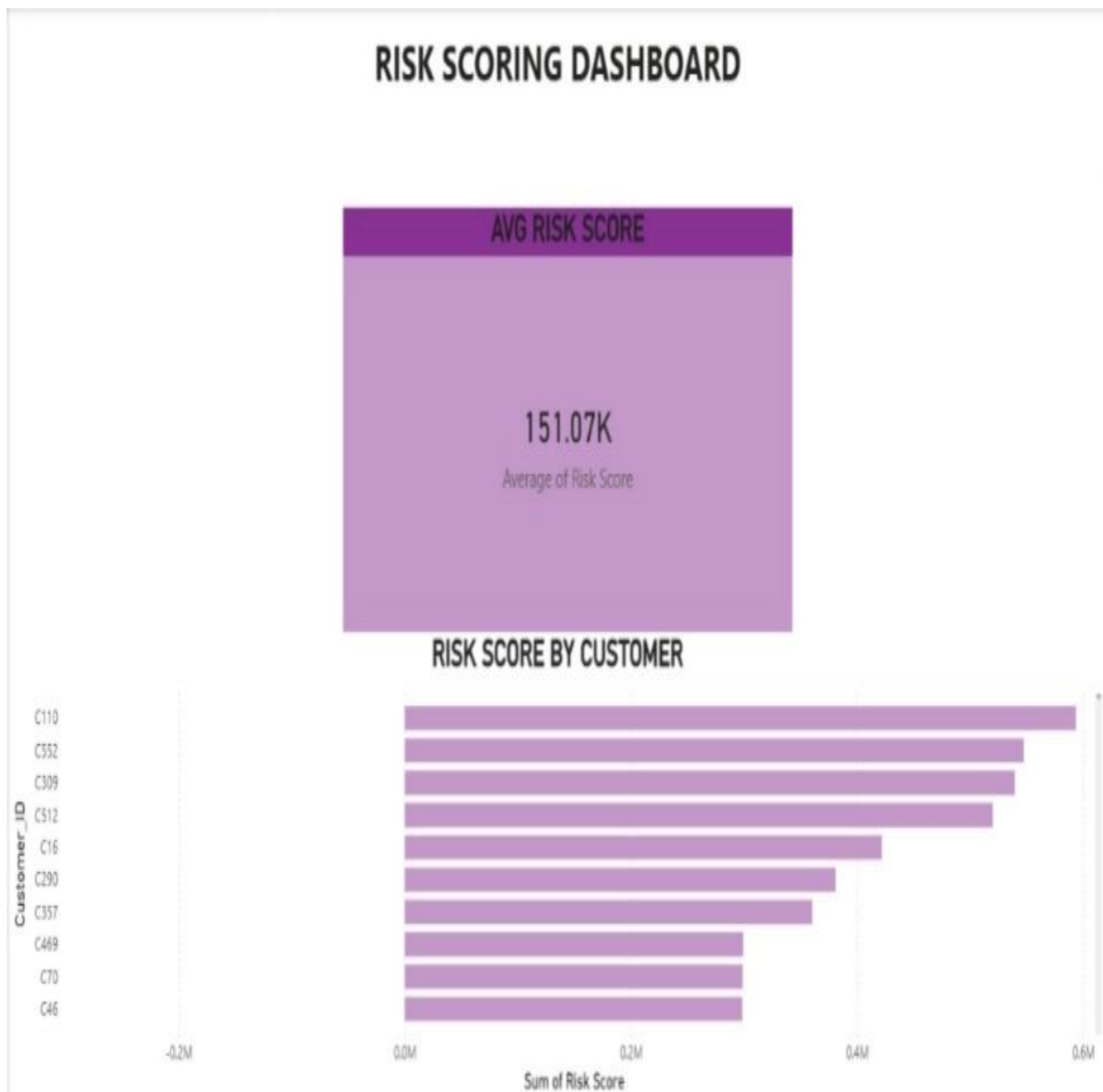
Interpretation:

1. Which segment needs attention?

The **High-risk segment needs the most attention**, as it has the highest proportion of risky customers.

This group contributes significantly to defaults.

8. RISK SCORING DASHBOARD

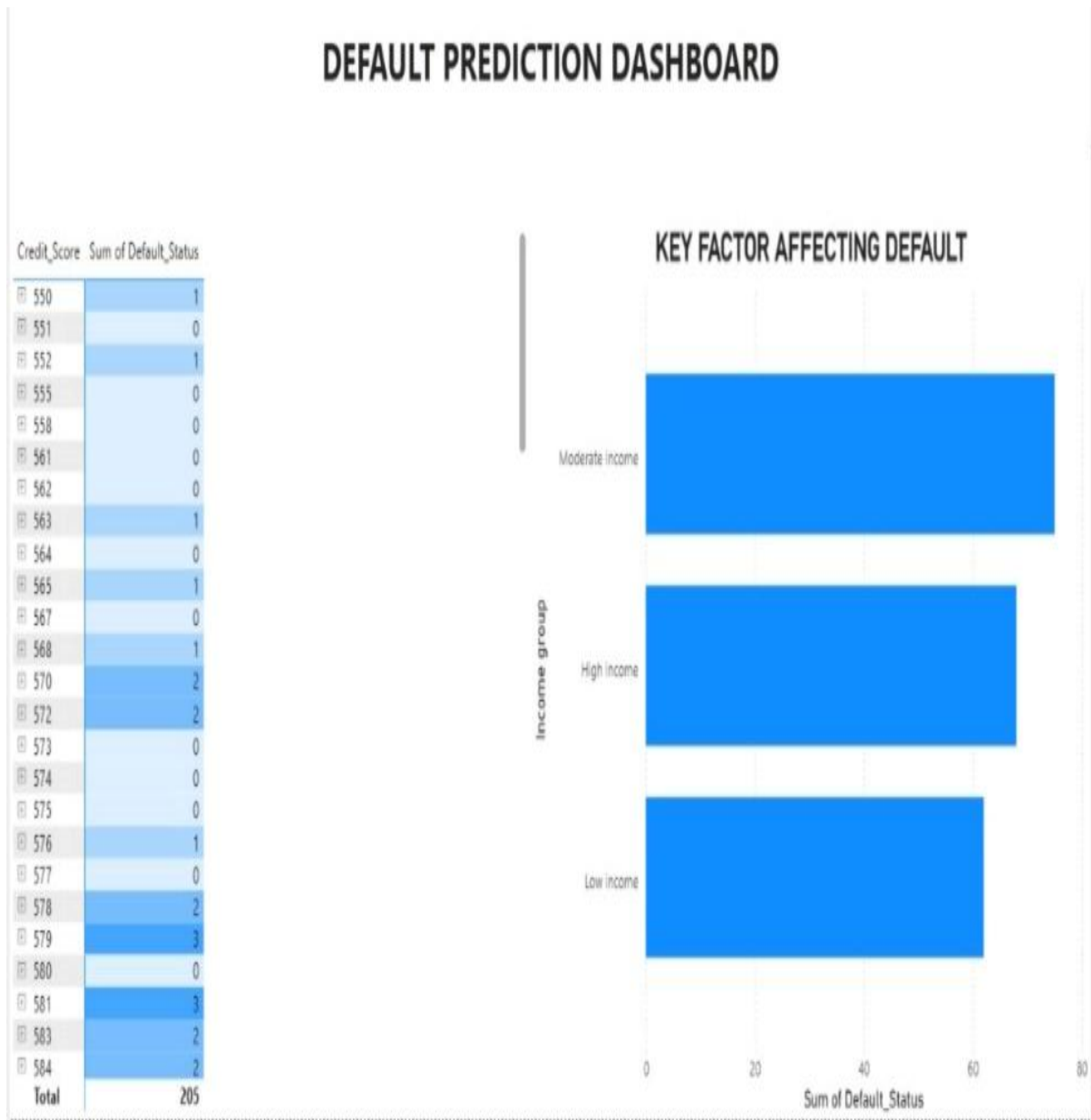


Interpretation:

1. Identify high-risk customers

Customers with **higher risk scores (top values)** are considered high-risk. These customers should be monitored closely or avoided for lending.

9. DEFAULT PREDICTION DASHBOARD



Interpretation:

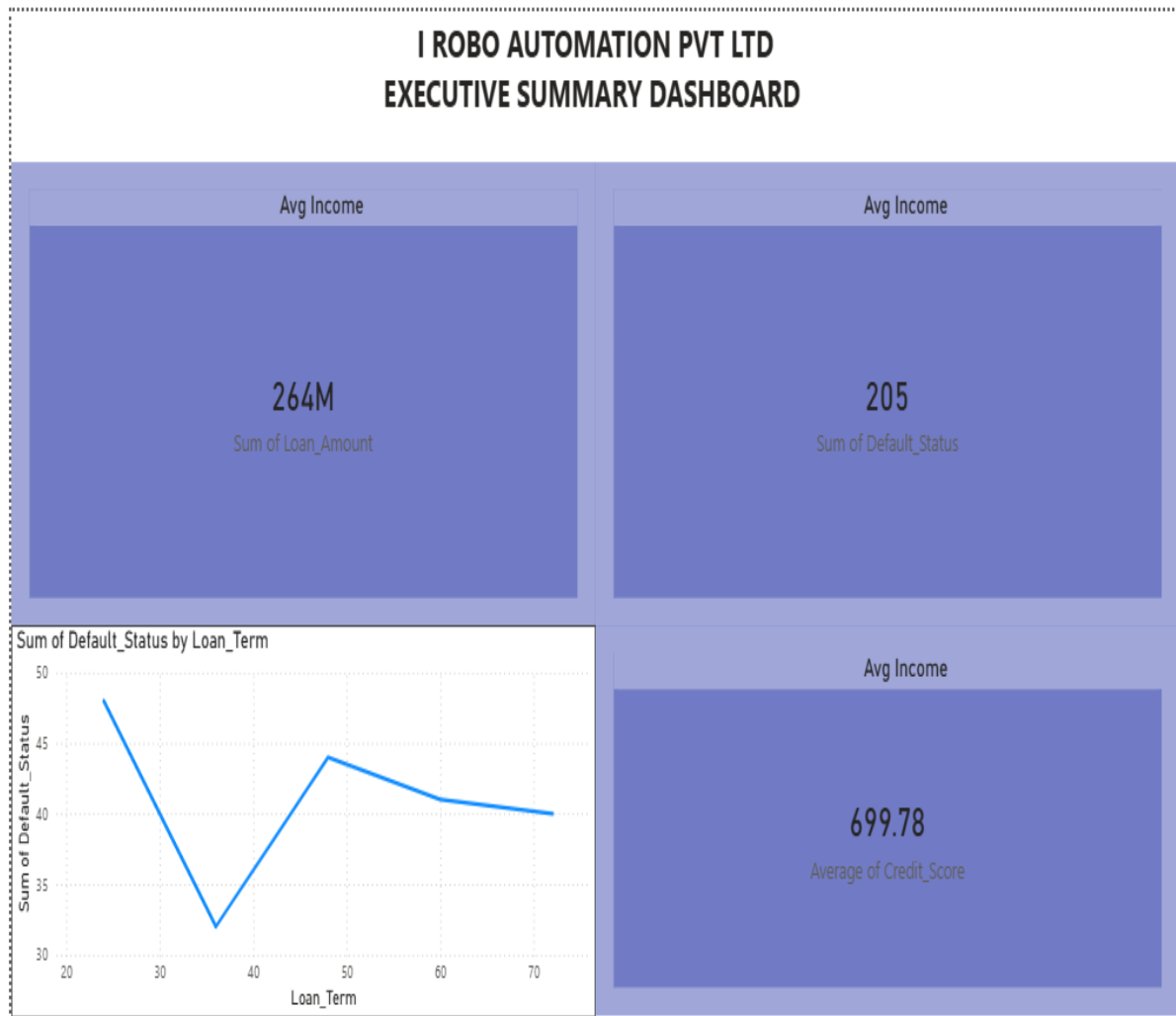
1. Which features influence default most?

Key influencing factors are:

- **Income level**
- **Debt-to-Income ratio (DTI)**
- **Loan amount**

Among these, **income and DTI show strong impact on default behavior.**

10. EXECUTIVE SUMMARY DASHBOARD



Interpretation:

1. What actions should bank take?

The bank should:

- Reduce loans for **high-risk customers**
- Focus on customers with **high credit scores**
- Monitor **high DTI customers** closely
- Offer controlled loans to **low-income groups**
- Improve **risk-based lending strategy**

